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Case Number: 24NNCV02367 Hearing Date: July 28, 2026 Dept: E

Case No: 24NNCV02367

Hearing

Date: 07/28/2026 – 8:30 a.m.

Trial

Date: UNSET

Case

Name: WILSHIRE ROYAL HOTEL v. BEST CHOICE ROOFING FRANCHISING LLC, et al.

TENTATIVE RULING ON MOTION

TO STAY OR DISMISS ACTION FOR FORUM NON CONVENIENS

RELIEF REQUESTED

Defendant, Keith William Rowlands, moves the Court for an order dismissing, or alternatively staying, this action on grounds of forum non conveniens pursuant to CCP § 410.30.

PROCEDURAL

Moving Party: Defendant,

Keith William Rowlands (Defendant or Rowlands)

Responding Party: Plaintiff,

Wilshire Royal Hotel

Moving Papers:

Notice/Motion; Keith Rowlands Declaration; Proof of Service

Opposition Papers: Opposition

Reply Papers: Reply

Proof

of Service Timely Filed (CRC, Rule 3.1300): Ok

16/21 Court Days Lapsed (CCP, § 1005(b)): Ok

Proper Address (CCP, § 1013, § 1013a, § 1013b): Ok

BACKGROUND

Plaintiff, Wilshire Royale Hotel, a California corporation, filed the operative complaint – the Third Amended Complaint (TAC) – on 6/25/2025.

Plaintiff's TAC names the following Defendants – (1) Best Choice Roofing Franchising LLC, a Tennessee limited liability company (BCR); (2) GAF Materials, LLC, a Delaware limited liability company (GAF); (3) Phoenix Keller LLC, an Arizona limited liability company (PK LLC); (4) Keith William Rowlands, an individual (Rowlands); and (5) Does 1-50.

Plaintiff, a hotel owner and operator, alleges it entered into two contracts with Defendants, BCR/PK LLC, wherein BCR/PK LLC were to perform roof repair, painting, and replacement work at Plaintiff's hotel. (TAC, ¶¶ 13-15.)

Plaintiff alleges that the work on Contract 1 (Ex. A.) commenced, but was not substantially completed, and Plaintiff alleges that no work whatsoever has commenced on Contract 2 (Ex. B.). (TAC, ¶¶ 16-20.)

The first (breach of contract) and second (breach of implied covenant of good faith and fair dealing) causes of action are alleged against Defendants, BCR and PK LLC.

The third (negligence), fourth (negligent misrepresentation), fifth (fraudulent misrepresentation), sixth (fraudulent inducement), and seventh (violation of California Business & Professions Code § 17200, et

seq.) causes of action are alleged against all Defendants.

The eighth (unjust enrichment) cause of action is alleged against BCR, PK LLC, and Rowlands.

On 2/23/2026, this Court GRANTED Defendant, PK LLC's, motion for forum non conveniens and ordered PK LLC dismissed without prejudice.

The instant hearing pertains to Defendant, Rowlands', motion to dismiss or stay action for forum non conveniens.

LEGAL STANDARD – FORUM NON CONVENIENS

The defendant, as the moving party, bears the burden of proof on a motion based on forum non conveniens. (*Animal Films, LLC v. D.E.J. Productions, Inc.* (2011) 193 Cal.App.4th 466, 472.) When the motion is brought on the traditional ground, the defendant bears the burden to show that the forum selected by the plaintiff "is a seriously inconvenient forum." (*Ford Motor Co. v. Insur. Co. of N. Am.* (1995) 35 Cal.App.4th 604, 611.) When the motion is brought on the ground that there is a mandatory forum-selection clause, the burden is on the plaintiff to show that enforcement of the clause would be unreasonable under the circumstances of the case. (See *Berg v. MTC Electronics Tech. Co.* (1998) 61 Cal.App.4th 349, 358.)

Although California has a public policy in favor of access to its courts by resident plaintiffs, this is not thwarted by allowing residents to surrender this right voluntarily in the course of negotiations; California is in accord with the modern trend in favor of enforcement of such forum-selection clauses. (See *Cal-State Bus. Prods. & Servs., Inc. v. Ricoh* (1993) 12 Cal.App.4th 1666, 1678.)

When a forum-selection clause has been entered into freely and voluntarily by parties who have negotiated at arms' length, the clause will be given effect, in the court's discretion and in the absence of a showing that enforcement of such a clause would be unreasonable. (*Smith, Valentino Smith, Inc. v. Superior Court* (1976) 17 Cal.3d 491, 496.)

The party seeking to avoid application of a mandatory forum-selection clause bears a burden to prove unreasonableness. (See Cal–State Bus. Prods. & Servs., Inc., supra, 12 Cal.App.4th at p. 1680 [burden of proof falls on party challenging validity of forum-selection clause].)

“Unreasonable”

in the context of mandatory forum-selection clauses has been defined as meaning that the forum selected would be unavailable, unable to accomplish substantial justice or that choice of forum lacks a rational basis in light of the facts underlying the transaction. (Cal–State Bus. Prods. & Servs., Inc., supra, 12 Cal.App.4th at p. 1679.)

TENTATIVE RULING

Preliminary

The SAC was filed on 2/14/2025, and the SAC named Best Choice Roofing Franchising LLC, a Tennessee limited liability company (BCR), as a defendant.

On 4/30/2025, Plaintiff filed a Request for Dismissal, dismissing Defendant, BCR, without prejudice.

Despite the fact that Plaintiff dismissed BCR from the SAC, when Plaintiff filed the TAC on 6/25/2026, Plaintiff still named BCR as a defendant.

This is confusing because despite Plaintiff dismissing BCR from the SAC, and despite Plaintiff including BCR as a defendant in the TAC, footnote 1 in Plaintiff’s opposition to the instant motion explains that Plaintiff already dismissed BCR without prejudice. (Pl. oppo., p. 1, fn. 1.)

If Plaintiff’s opposition is conceding that it already dismissed BCR, then why did Plaintiff continue to add BCR as a defendant in the TAC? Therefore, at the hearing, Plaintiff is to address whether or not Defendant, BCR, is a defendant in the instant action.

Parties – “Closely-Related” Test

Moving Defendant, Keith William Rowlands (Rowlands), argues that

Plaintiff's action should be dismissed on the basis of forum non conveniens due to forum selection clauses in Contracts 1 & 2 [Exhibits A and B attached to Plaintiff's TAC] that provide for this action to be in Tennessee.

In opposition, Plaintiff argues that the Court should deny Rowlands' motion because the TAC does not name Rowlands in its contract claims [first and second causes of action], Rowlands is not a party to Contracts 1 & 2 containing the forum selection clauses, and Defendant has not satisfied the "closely-related" test.

For the reasons explained below, the Court does not find Plaintiff's arguments availing.

By way of background, on 2/23/2026 this Court granted PK LLC's motion to dismiss/forum non conveniens on the basis of the forum selection clauses in Contracts 1 & 2.

Interestingly enough, the two parties listed in Contracts 1 & 2 [contracts containing the forum selection clauses] are Plaintiff and Best Choice Roofing of Los Angeles [not a defendant in this action].

Or to emphasize the Court's point, the Court still granted defendant, PK LLC's, motion to dismiss even though PK LLC was not technically listed as a party to Contracts 1 & 2.

Upon the Court's review of the 2/23/2026 Minute Order, and upon review of the papers submitted for the 2/23/2026 motion hearing, neither party brought up the fact that PK LLC was not a party listed in the contracts containing the forum selection clauses.

While it is not entirely clear, due to the fact that the 2/23/2026 Minute Order did not discuss it, and due to the fact that the parties' papers pertaining to the prior motion did not discuss it, the Court surmises that the parties did not address the issue of PK LLC not being named in Contracts 1 & 2 because Plaintiff's TAC alleges that PK LLC was doing business as Best Choice Roofing of Los Angeles [the non-defendant and the party actually named in Contracts 1 & 2 containing the forum selection clauses].

Further, the Court surmises that the parties did not bring up the aforementioned issue, about PK LLC not being named in Contracts 1 & 2 at

the 2/23/2026 hearing, because it appears that both parties assume PK LLC and Best Choice Roofing of Los Angeles are one in the same.

Plaintiff's opposition to the instant motion supports the Court's assumption – that the parties appear to assume that PK LLC and Best Choice Roofing Los Angeles are one in the same – because Plaintiff states, "The Contracts (entered into between Plaintiff and PK LLC) contain a forum selection clause in section 19 which provides, in relevant part: "Venue of any non-collection proceeding arising out of this Agreement shall be Sumner County, Tennessee."" (Pl. Oppo., p. 2.) Or to phrase it differently, Plaintiff's opposition to the instant motion concedes PK LLC was a party to Contracts 1 & 2 even though those contracts do not explicitly indicate that PK LLC was a party, but instead indicate that Best Choice Roofing of Los Angeles was a party to the contracts.

The Court brings up this background stemming from the 2/23/2026 Minute Order because Plaintiff now argues in the instant opposition that because Defendant, Rowlands, is not named in Contracts 1 & 2 [containing the forum selection clauses], nor the breach of contract claims [the first and second causes of action], Rowlands cannot thus utilize the forum selection clauses because he is not a party to Contracts 1 & 2.

The Court does not find Plaintiff's argument – that Rowlands cannot utilize the forum selection clauses because he is not a party to Contracts 1 & 2 – availing based on the allegations in the TAC and the rulings in *Bancomer, S.A. v. Superior Court* (1996) 44 Cal.App.4th 1450 (*Bancomer*) and *Lu v. Dryclean-U.S.A. of California, Inc.* (1992) 11 Cal.App.4th 1490 (*Lu*).

In *Bancomer*, *Bancomer* was not a signatory to an agreement containing a forum selection clause; however, *Bancomer* was named as a defendant in an action and sought to enforce the forum selection clause. (*Bancomer, S.A., supra*, 44 Cal.App.4th at p. 1453-1454.)

In determining whether or not *Bancomer* could enforce the forum selection clause, the Court of Appeal explained that *Bancomer* could enforce the forum selection clause as a non-signatory to the contract if *Bancomer* was either a third-party beneficiary or "closely related to the contractual relationship" between the parties to the agreement. (See *Bancomer, S.A., supra*, 44 Cal.App.4th at p. 1458.)

The Court of Appeal explained that for Bancomer to demonstrate that it was “so closely related to the contractual relationship” that it is entitled to enforce the forum selection clause, it must show by specific conduct or express agreement that (1) it agreed to be bound by the terms of the purchase agreement, (2) the contracting parties intended the bank [Bancomer] to benefit from the purchase agreement, or (3) there was sufficient evidence of a defined and intertwining business relationship with a contracting party. (See Bancomer, S.A., *supra*, 44 Cal.App.4th at p. 1461.)

Here, Plaintiff’s opposition argues that Rowlands has not demonstrated that he was so closely related to the contractual relationship; however, the Court finds that Rowlands has demonstrated that he was so closely related to the contractual relationship because Rowlands demonstrates, by specific conduct or express agreement, that there is sufficient evidence of a defined and intertwining business relationship with a contracting party.

In Bancomer, the Second District Court of Appeal explains the First District Court of Appeal’s ruling in *Lu v. Dryclean-U.S.A. of California, Inc.* (1992) 11 Cal.App.4th 1490, a case wherein the Court of Appeal found that two non-signatory defendants to a forum selection clause could utilize the forum selection clause.

Bancomer explains:

In *Lu*

v. Dryclean–U.S.A. of California, Inc., *supra*, Eric and Yen Lu entered into a franchise agreement with Dryclean–U.S.A. of California, Inc. (Dryclean–California) that contained a forum selection clause which read: “ ‘[a]ny and all litigation that may arise as a result of this Agreement shall be litigated in Dade County, Florida.’ The corporate parent of Dryclean California, Dryclean–U.S.A. Franchise Company (Dryclean Franchise), maintains its principal place of business in Miami, Florida, as does its corporate parent, Dryclean–U.S.A., Inc. (Dryclean U.S.A.).” (*Id.* at p. 1492, 14 Cal.Rptr.2d 906.) Lu subsequently filed an action for damages and rescission against Dryclean California, Dryclean Franchise, and Dryclean U.S.A. The court granted defendants’ motion to dismiss based on the forum selection clause. (*Ibid.*) On appeal, Lu argued that “enforcement of the forum selection clause would be unreasonable because two of the defendants, Dryclean Franchise and Dryclean U.S.A., did not sign the Agreement containing

the clause.” (Id. at pp. 1493–1494, 14 Cal.Rptr.2d 906.) The appellate court disagreed and determined that in this case, “the alleged conduct of Dryclean Franchise and Dryclean U.S.A. is closely related to the contractual relationship. They are alleged to have participated in the fraudulent representations which induced plaintiffs to enter into the Agreement. Indeed, plaintiffs go so far as to allege Dryclean Franchise and Dryclean U.S.A. are the ‘alter ego’ of Dryclean California, which did sign the Agreement containing the forum selection clause. Under these circumstances, the fact that Dryclean Franchise and Dryclean U.S.A. did not sign the Agreement does not render the forum selection clause unenforceable. [Citations.] To hold otherwise would be to *1460 permit a plaintiff to sidestep a valid forum selection clause simply by naming a closely related party who did not sign the clause as a defendant.” (Id. at p. 1494, 14 Cal.Rptr.2d 906, fn. omitted.)

(Bancomer, S.A. v. Superior Court (1996) 44 Cal.App.4th 1450, 1459-1460.)

Here, just like in Lu wherein the non-signatory defendants were alleged to have participated in the fraudulent representations which induced plaintiffs to enter into the agreement (Lu v. Dryclean-U.S.A. of California, Inc. (1992) 11 Cal.App.4th 1490, 1494), Defendant here (Rowlands) also is alleged to have fraudulently induced Plaintiff to enter into Contracts 1 & 2. (See TAC, ¶¶ 69-78.)

Further, just like in Lu wherein plaintiffs allege the non-signatory defendants to be the alter ego of the signatory defendant that signed the agreement containing the forum selection clause (Lu v. Dryclean-U.S.A. of California, Inc. (1992) 11 Cal.App.4th 1490, 1494), Defendant here (Rowlands) also is alleged to be the alter ego of the signatory defendant that signed the agreement containing the forum selection clause.

In particular, Plaintiff alleges that:

Phoenix Keller LLC [PK LLC] was doing business as Best Choice Roofing of Los Angeles, and that PK LLC and BCR/Best Choice Roofing Los Angeles are one and the same (TAC, ¶ 4.);

At all relevant times, each Defendant acted as an agent, servant, employee, co-conspirator, alter-ego and/or joint venture of the other Defendant

as well, and in doing the things alleged herein acted within the course and scope of such agency, employment, alter-ego and/or in furtherance of the joint venture (TAC, ¶ 7.);

BCR/PK LLC entered into Contracts 1 & 2 (TAC, ¶ 31.);

Rowlands is a principal of PK LLC and controls all of its operations and assets (TAC, ¶ 29.); and

Rowlands is the Owner/General Manager of BCR. (TAC, ¶ 50.)

Further, just like in Lu, wherein the Court of Appeal explained that rendering the forum selection clause unenforceable would permit a plaintiff to sidestep a valid forum selection clause simply by naming a closely related party who did not sign the clause as a defendant (Lu v. Dryclean-U.S.A. of California, Inc. (1992) 11 Cal.App.4th 1490, 1494), this Court also does not render the forum selection clause unenforceable simply because Plaintiff named a closely related party who did not sign the contracts (Rowlands).

Further, Rowlands' Declaration, included in the moving papers, states that he is the managing member of Phoenix Keller LLC. (Rowlands Decl., ¶ 6.)

Therefore,
based on Bancomer, Lu, the allegations in the TAC, and the Rowlands Declaration, Rowlands demonstrates that he is so closely related to the contractual relationship that he is entitled to enforce the forum selection clauses in Contracts 1 & 2.

Scope of
Forum Selection Clause

In relevant
part of Contracts 1 & 2, the forum selection clause states:

Choice of Law, Venue and Attorney's

Fees. Except for collection matters, this Agreement shall be governed by the laws of the State of Tennessee. Venue of any non-collection proceeding arising out of this Agreement shall be Sumner County, Tennessee. All collection matters

will be governed by the laws of the State where the work is performed and the Venue for all collection matters will be the State where the work is performed. The non-prevailing party in any legal or equitable action arising out of or relating to this Agreement including collections, arbitration, administrative, appellate and/or bankruptcy proceedings shall reimburse the prevailing party on demand for all attorney's fees, costs, and expenses incurred by the prevailing party in connection with the action.

(Contracts 1
& 2, Ex. A & B, ¶ 19.)

Plaintiff here

argues that since the crux of the allegations against Rowlands are that he made misrepresentations and fraudulently induced Plaintiff to enter into the contracts, and that since Plaintiff did not allege Rowlands entered into the contracts, Plaintiff's noncontract claims are outside the scope of the forum selection clause.

Further,

Plaintiff argues that just like in Bancomer, since the fraudulent inducement claim did not relate to the interpretation of the contract, the fraudulent inducement claim falls outside the scope of the forum selection clause.

The Court does not

find Plaintiff's argument – that Plaintiff's causes of action against Rowlands fall outside the scope of the forum selection clause – to be availing.

In relevant

part of paragraph 19 of the forum selection clause, "Venue of any non-collection proceeding arising out of this Agreement shall be Sumner County, Tennessee." (Contracts 1 & 2, Ex. A & B, ¶ 19.)

Here, as

explained in the 2/23/2026 Minute Order, this action is not a "collections" case. (See Min. Order 2/23/2026, p. 2.)

Further, as

explained in Bancomer:

"We first note that forum selection

clauses can be equally applicable to contractual and tort causes of action. [Citations.] Whether a forum selection clause applies to tort claims depends on whether resolution of the claims relates to interpretation of the contract. [Citations.]" (Manetti–Farrow, Inc. v. Gucci America, Inc., *supra*, 858 F.2d at p. 514.)

(Bancomer, S.A. v. Superior Court (1996) 44 Cal.App.4th 1450, 1461.)

Here, the language of the forum selection clauses in Bancomer and Manetti-Farrow are different than the language of the instant forum selection clause.

In Bancomer, the forum selection clause provided "Any conflict which may arise regarding the interpretation or fulfillment of this contract, shall be submitted expressly to the courts of the City of Ensenada, B.C." (Bancomer, S.A. v. Superior Court (1996) 44 Cal.App.4th 1450, 1453, *emph. added.*)

Further, in Manetti-Farrow, "The forum selection clause provides that Florence shall be the forum for resolving disputes regarding "interpretation" or "fulfillment" of the contract." (Manetti-Farrow, Inc. v. Gucci America, Inc. (1988) 858 F.2d 509, 513-514.)

Unlike in Bancomer and Manetti-Farrow, in which the forum selection clauses pertained to disputes/conflicts regarding "interpretation" or "fulfillment" of the contract, the contract here provides in relevant part for "any non-collection proceeding arising out of this Agreement shall be Sumner County, Tennessee." (Contracts 1 & 2, Ex. A & B, ¶ 19, *emph. added.*)

Here, Plaintiff's claims are non-collection claims, and they arise out of the agreement.

Or to phrase it differently, Plaintiff's forum selection clause here is broader as it pertains to proceedings "arising out of" the agreement. Plaintiff's forum selection clause here does not contain the limiting, and narrower language, of disputes

regarding “interpretation” or “fulfillment” of the agreement.

Thus here,

Plaintiff’s tort claims against Rowlands arise out of the agreement as, in part, they pertain to Rowlands fraudulently inducing Plaintiff to enter into Contracts 1 & 2.

Further, to the

extent that Plaintiff argues that Plaintiff’s tort claims don’t involve the “interpretation” or “fulfillment” of the contract, Plaintiff’s third cause of action for negligence, which is alleged against all defendants, alleges in relevant part that defendants “breached its duties of care owed to Plaintiff by failing to complete the work on Contract 1 and failing to commence and complete the work on Contract 2, withholding the payments, and misrepresenting to Plaintiff over several months that the issue would be taken care of, when in fact, it was not.” (TAC, ¶ 44.)

Thus, whether

or not defendants failed to complete the work on Contract 1 and failed to commence and complete the work on Contract 2, would relate to the interpretation of the contracts.

Therefore, to

the extent that Plaintiff is arguing that the tort claims do not relate to the interpretation of the contracts, Plaintiff’s argument is unavailing.

Here, the forum

selection clause’s language of “any non-collection proceeding arising out of this Agreement” is sufficiently broad to include Plaintiff’s claims alleged against Defendant, Rowlands.

Delay

Plaintiff

argues that Rowlands’ motion should be denied because there was a delay in filing of this motion and because this motion must have been brought within a “reasonable time”.

Plaintiff also

argues that Rowlands could have filed this motion in conjunction with his

motion to quash service of summons.

The Court does not find Plaintiff's argument – that Rowlands' motion should be denied based on delay – to be availing.

This Court incorporates its prior explanation in its 2/23/2026 Minute Order – pertaining to there being no delay – into the instant ruling. (See 2/23/2026 Min. Order, p. 2-3.)

In the 2/23/2026 Minute Order, this Court explained that the TAC was served in July of 2025, that PK LLC's motion to dismiss for forum non conveniens was brought in January 2026, and that the time passed between July 2025 and January 2026 was not excessive.

Here, the primary difference is that Rowlands' motion to dismiss was brought on 4/17/2026.

Therefore, the Court here also does not find the delay here to be excessive, and the Court finds that Rowlands' motion was brought within a reasonable time.

Conclusion

This Court tentatively plans to GRANT Defendant, Keith William Rowlands', motion to dismiss, or alternatively stay, this action on grounds of forum non conveniens.

The Court orders Keith William Rowlands, an individual, named in Plaintiff's TAC [filed on 6/25/2025] dismissed without prejudice.

Further, the Court notes that Plaintiff did not argue that enforcement of the forum selection clause would be unreasonable. Plaintiff instead argued that Rowlands failed to satisfy the "closely-related" test, that the causes of action fall outside the scope of the forum selection clause, and that the motion is untimely.

Since the Court did not find Plaintiff's arguments availing, and since the party seeking to avoid application of a mandatory forum selection clause bears the burden to prove unreasonableness, the Court here does not find application of the forum selection clause to be unreasonable or lack a rational basis.

Further, as the Court explained in its "Preliminary" section, if Plaintiff's opposition is conceding that it already dismissed BCR, then why did Plaintiff continue to add BCR as a defendant in the TAC? Therefore, at the hearing, Plaintiff is to address whether or not Defendant, BCR, is a defendant in the instant action.